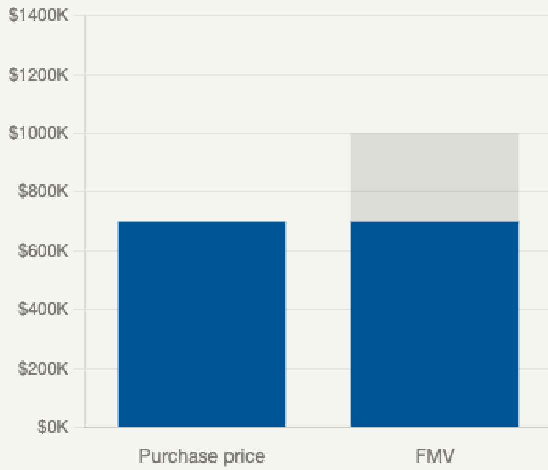
DiversyFund Fixed Income Fund

Fixed income line of credit · Discount to FMV

Scenario 1 — Gap exists

FMV $1,000,000 · Purchase $700K (30% discount)



Fixed income line of credit: **$700K** (100% of purchase)

Built-in cushion: **$300K** (30% below FMV)

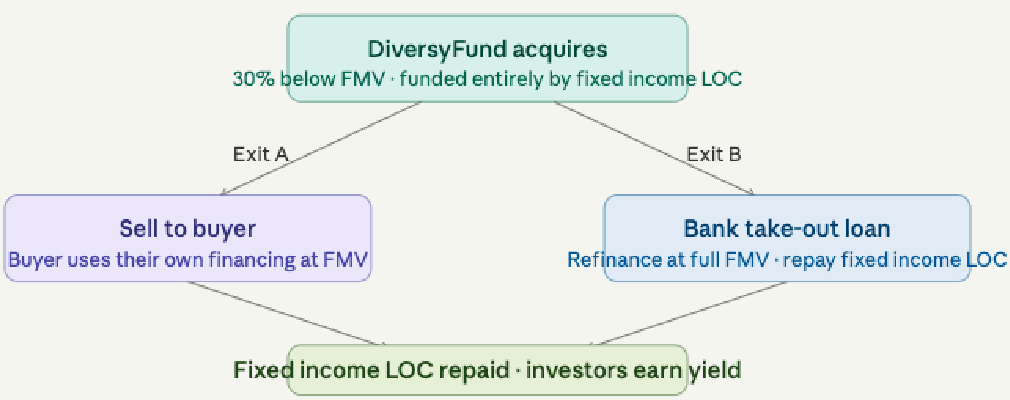
Scenario 3 — No gap needed

FMV $1,200,000 · Purchase $700K (42% discount)

Fixed income line of credit: **$700K** (100% of purchase)

Built-in cushion: **$500K** (42% below FMV)

How DiversyFund exits the investment



Discount at acquisition	Investor position	Exit paths
30%	**100% senior debt**	**Sell or refi**

DiversyFund acquires a property at a 30% discount to FMV using the Fixed Income Line of Credit (which bundles the bank loan and gap into one instrument) plus a 20% equity slice. The built-in discount is the core protection for fixed income investors — the property would have to lose significant value before they're exposed.

From there, two clean exits:

Exit A — sell to a buyer. The buyer finances the purchase at full FMV using their own mortgage. DiversyFund captures the spread between the discounted acquisition price and FMV, repays the Fixed Income LOC, and investors receive their yield.

Exit B — take-out loan. DiversyFund refinances with a bank at the full appraised FMV. The higher LTV at FMV (vs. the discounted purchase price) means the bank loan pays off the Fixed Income LOC entirely, and DiversyFund may hold the asset for further appreciation.

The 30% discount is the moat. It's not just upside!